

accepted method will postpone or cancel purchases they otherwise would make.

My objection to this approach is not that it is unreasonable in theory. It is that in the current state of human knowledge about the economics which deal with forecasting future business trends, it is impossible to apply this method in practice. The chances of being right are not good enough to warrant such methods being used as a basis for risking the investment of savings. This may not always be the case. It might not even be the case five or ten years from now. At present, able men are attempting to harness electronic computers to establish "input-output" series of sufficient intricacy that perhaps at some future date it may be possible to know with a fair degree of precision what the coming business trends will be.

When, if ever, such developments occur, the art of common stock investment may have to be radically revised. Until they occur, however, I believe that the economics which deal with forecasting business trends may be considered to be about as far along as was the science of chemistry during the days of alchemy in the Middle Ages. In chemistry then, as in business forecasting now, basic principles were just beginning to emerge from a mysterious mass of mumbo-jumbo. However, chemistry had not reached a point where such principles could be safely used as a basis for choosing a course of action.

Occasionally, as in 1929, the economy gets so out of line that speculative enthusiasm for the future runs to unprecedented proportions. Even in our present state of economic ignorance, it is possible to make a pretty accurate guess as to what will occur. However, I doubt if the years when it is safe to do this have averaged much more than one out of ten. They may be even rarer in the future.

The typical investor is so used to having economic forecasts made for him that he may start by trusting too strongly the dependability of such forecasts. If so, I suggest that he look over a file of the back issues of the *Commercial & Financial Chronicle* for any year he may choose since the end of World War II. As a matter of fact it might pay him to look over such a file even though he is aware of the fallibility of these forecasts. Regardless of the year he selects he will find, among other material, a sizable number of articles in which leading economic and financial